

understand the psychological biases that affect investor behavior in general, as well as our own behavior and motivations as investors.

Third, understanding the basis underlying momentum can help us develop models that can better exploit the momentum anomaly. Finally, understanding how momentum works may give us a better understanding of whether momentum profits are likely to remain strong in the future. Momentum is the only anomaly that has persisted since its widespread publication beginning in the early 1990s. If we can identify deeply ingrained behavioral forces underlying momentum, we might have more reason for believing that momentum profits are likely to continue far into the future.

## WHY MOMENTUM WORKS

There are two schools of thought as to why momentum works. The first is that high momentum profits are compensation for assuming greater amounts of risk. This is the rational explanation, which is a matter of cause and effect. If you assume more risk, you should receive more profit as compensation for bearing that risk. It is a view of the world that is in agreement with the idea of rational-based efficient markets. However, since common risk factors such as size and value do not explain momentum profits, we need to find new risk factors that have so far been undiscovered.

The second school of thought is that abnormal momentum profits exist not as compensation for risk, but rather because investors behave unexpectedly and irrationally in systematic and predictable ways. Under the tenets of behavioral finance, markets are not always efficient. It is human behavior that moves markets and not the universal information shared by market participants. Prices do not always reflect all available information because behavioral biases can cause prices to remain too high or too low for long periods of time.

I will explore both the rational and behavioral explanations for momentum. To complicate matters further, some experts say it is possible to characterize momentum profits as a combination of both rational and irrational factors. As we saw in [Chapter 3](#), the real world does not always conform neatly to how we wish to model it.